

Multi-Bank Aggregator Expansion Proposal

This document proposes an extension of the SkillConnect JK platform to support an aggregator model that interfaces with multiple banks. The goal is to expand access to credit, encourage competition among lenders, and reduce reliance on a single bank partner while maintaining the risk controls and accountability mechanisms established in the pilot.

1. Rationale for Aggregator Model

1. **Increased Capital Supply** – Engaging multiple banks increases the total lending capacity and reduces concentration risk. Learners across J&K, especially in remote districts, gain wider access to financing.
2. **Competitive Pricing** – Banks may offer different interest rates, processing fees and terms. An aggregator allows learners to compare offers and choose the most suitable one, promoting efficiency.
3. **Risk Diversification** – Shared risk across institutions lowers systemic risk. If one bank's portfolio performs poorly, others' performance may compensate.
4. **Policy Alignment** – Banks have varying PSL quotas and strategic priorities; an aggregator can match borrowers with banks needing to meet their PSL targets[1].

2. Aggregator Architecture

2.1 Core Components

1. **Bank Registry** – A database of participating banks containing API endpoints, interest rate ranges, loan parameters (minimum/maximum ticket size, eligible courses), guarantee coverage requirements, and ranking priorities.
2. **Loan Marketplace Module** – Service that matches learner loan applications with suitable banks based on Borrower Score, TPScore, sector, loan amount and district. Provides a ranking of offers.
3. **Multi-Tenant API Gateway** – Handles secure, authenticated communication with each bank's API. Standardises requests and responses to/from banks via an internal uniform API specification.
4. **Offer Presentation Engine** – Generates a comparative view of offers for the learner, including interest rates, estimated EMI, guarantee requirements and approval probability.
5. **Consent & Data Sharing** – Learners can authorise sharing of their application data with selected banks. Data is encrypted and shared only on consent.

2.2 Flow for Learners

1. Learner applies for a course and a loan as usual.
2. The platform computes Borrower Score and determines eligibility.
3. The aggregator queries multiple banks through the Multi-Tenant API Gateway, sending anonymised or pseudonymised application details. Each bank returns a conditional offer or declines.
4. The platform ranks offers based on interest rate, tenure, approval probability, and guarantee terms. Learner reviews offers and selects preferred bank.
5. The platform finalises application with selected bank and proceeds with the existing loan workflow (disbursement via escrow, milestone verification, repayment collection).

2.3 Flow for Banks

1. Banks integrate once with the platform via standardised API (OpenAPI specification). They register product parameters and risk policies. Banks may specify sectors of interest (e.g. technology courses) and exclude others.
2. Banks receive anonymised application requests, evaluate them using their internal underwriting models and return offers including interest rate, acceptance conditions and guarantee requirements.
3. After a learner selects a bank, the full application data is shared. The bank issues an approval decision and manages the loan using its existing infrastructure. The platform synchronises status updates and repayment data via the API.

2.4 Data Privacy & Fairness

- The aggregator must abide by a privacy framework: anonymise personal data when broadcasting to banks, and only reveal full identity to the bank chosen by the learner.
- Banks must commit not to discriminate on the basis of protected characteristics and to abide by RBI fair lending guidelines.
- The platform will log and audit offer decisions for fairness analysis. Learners may report suspected discrimination.

3. Policy & Risk Considerations

- **Guarantee Mechanism:** Each participating bank must agree to CGFSSD coverage (75 %) and accept the dynamic TP guarantee structure. If a bank desires higher coverage, it must negotiate additional fees or government contributions.
- **Interest Rate Caps:** To protect learners, interest rates must remain within a fixed band (e.g. MCLR + 1–3 %) consistent with existing skill loan guidelines[2].

- **Transparency:** The platform must present a clear comparison of offers, showing interest rates, EMI schedules, and any additional charges. Hidden fees are not allowed.
- **Non-Exclusive Agreements:** Banks should not impose exclusivity clauses preventing learners from seeking offers from other banks.
- **Dispute Resolution:** Establish an aggregator-level grievance mechanism. Disputes between bank and borrower should be resolved transparently with platform mediation.

4. Steps to Implement Aggregator

1. **Framework & Policy Drafting** – Form a multi-stakeholder committee (government, banks, platform operator) to draft aggregator rules and data sharing agreements.
2. **Standard API Specification** – Develop an OpenAPI schema covering application submission, offer retrieval, approval, disbursement and repayment events. Include fields for guarantee requirements and sector preferences.
3. **Bank Onboarding** – Approach major PSU and private banks with interest in education/skill loans. Offer pilot results and demonstration of risk controls to attract participation.
4. **Regulatory Approval** – Seek clearance from RBI or state regulators for multi-lender lending; ensure compliance with digital lending norms.
5. **Technology Development** – Implement the Bank Registry, Multi-Tenant API Gateway and Offer Presentation Engine. Test end-to-end flows with at least two banks.
6. **User Testing** – Conduct user research on offer selection UI; ensure learners understand differences between offers and can make informed choices.

5. Benefits & Potential Challenges

Benefits: - Enhanced access to capital and potentially lower interest rates for learners. - Better risk distribution across financial institutions. - Encourages innovation and product differentiation among banks. - Provides government with richer data on skill loan performance across lenders.

Challenges: - Complex coordination and standardisation across banks; requires strong governance. - Need to manage data privacy and ensure banks do not misuse learner information. - Potential for confusion if offers are overly complex; UI must be clear. - Divergent guarantee requirements could create unequal playing field; policies must align.

6. Conclusion

The aggregator model is a logical evolution of the SkillConnect JK platform. It aligns with broader financial inclusion goals and fosters competitive, sustainable financing for skilling. By implementing a robust, privacy-respecting and transparent aggregator, the platform can attract additional banks, lower costs for learners and scale across Jammu & Kashmir and beyond.

[1] Priority Sector Lending In India: A Guide

<https://www.go-yubi.com/securitisation/priority-sector-lending/>

[2] Skill Loan Scheme – Shree Lohana Samaj Trust Konkan Vibhag

<https://konkanlohanasamaj.com/skill-loan-scheme/>